

Which peak is lower? The Adam peak is lower than Eve, and [Table 31.11](#) says that there is a small performance boost (one percentage point) for that combination.

This analysis showed mixed technical evidence (which is typical). If you owned the stock, you could sell on the breakout. Waiting for a pullback is a risk because they occur 64% of the time, but with underlying support by the ascending triangle, a pullback was a good bet.

If you wanted to short this stock, the timing is the same. Short at the breakout and add to your position if price turned downward after the pullback completed, or just short when price dropped again after the pullback.

Say you short the stock at the breakout. Price pulls back, then drops to point A. Since that is a new minor low, place the stop a dime or so above the top of the pullback, the closest minor high. Price climbs to B, then drops to C. C is lower than A, so it is a new minor low. Lower the stop to B. Price climbs to D, then drops to E. Move the stop to D. Since the drop from D to E is far, you might want to cut the distance to the next stop location.

Keep moving the stop lower as price drops. A new low on the way to H means the stop is lowered to F. That is 17% away from the low at H (measured from high to low), but with this volatile stock, I would tighten the stop because price is going nearly vertical.

When I see price finish three moves in a row where price makes a lower low and lower high (like you see on the way down to H), I will move the stop to the top of the prior price bar and trail it lower. If you did that, it would cash you out the day after H.

Let's assume you didn't do that. How do you sell? If the stock rises, the stop will take you out automatically. Another way is to see the head-and-shoulders bottom forming at GHK. A neckline drawn from F to J and extended to the right marks the breakout price for that chart pattern. Cover your short at the open the day after price closes above the neckline.

If you traded this stock, you would have made about 16%. That value matches the average decline for double tops (see [Table 31.2](#)).